

Sustainable Spending Rates for Different Planning Horizons and Investment Returns

Objective: Preserve 50% of Wealth (Inflation-Adjusted) at End of Horizon

		Planning Horizon (in Years)				
		10	20	30	40	50
Inflation-Adjusted Investment Return	0%	5.0%	2.5%	1.7%	1.3%	1.0%
	1%	5.7%	3.2%	2.4%	2.0%	1.8%
	2%	6.4%	4.0%	3.2%	2.8%	2.5%
	3%	7.1%	4.7%	3.9%	3.6%	3.3%
	4%	7.9%	5.5%	4.7%	4.4%	4.2%
	5%	8.5%	6.2%	5.5%	5.2%	5.0%
	6%	9.2%	6.9%	6.3%	6.0%	5.8%

Finally, Exhibit 2.10 includes the objective that the full inflation-adjusted purchasing power of the initial wealth must be preserved at the end of the planning horizon. With 0 percent returns and a desire to preserve the portfolio, the sustainable spending rate is obviously 0 percent regardless of the planning horizon. Nothing can be spent, because the portfolio would be unable to make up the difference. As for other investment returns, sustainable spending rates fall a bit below the investment return due to the assumption that spending is taken from the portfolio at the start of each year. For instance, regardless of horizon, the sustainable spending rate is 4.8 percent when the return is 5 percent. The investment return must be a bit higher than the spending rate so the portfolio balance can return to its initial